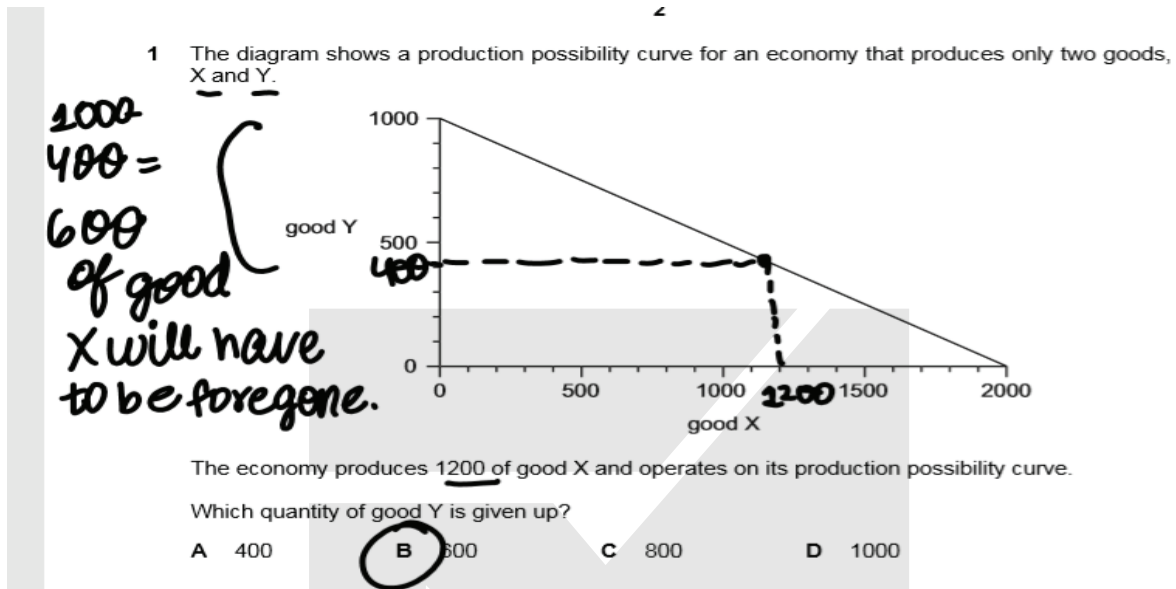


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1-B:



When 1200 units of X are being produced, only “400 units of good Y” can be produced.

This means that its opportunity cost will be in terms of Y.

1000 units of Y can be produced, but now only 400 will be produced, this means that the opportunity cost will be “600” units of good Y, thus making key B correct

2-C:

A: Although a lack of resources is shown, a market economy is not represented since government intervention in form of “direct provision of public sector housing” is being shown, which takes us through the fact that this may be a mixed economy.

B : Although economic planning is being shown, “price mechanism” is not shown, since the government is engaging itself in provision of houses rather than private producers.

C: The planned houses based on the government’s assumption on how many houses are required is “1500”, and the number of houses that are complete is: 8900, which represents the fact that there is excess demand. Similarly, there is opportunity cost of labor being shown as workers being used in other public sector projects means that less is available for housing development, thus making this option correct

D: Budget deficit occurs when govt spending exceeds tax revenues. This is incorrect as here no information is given about tax revenues. And, a PPC shows the output combinations of two

types of goods that can be produced in an economy with existing resources, and no such thing is being shown, thus making this incorrect

3-C:

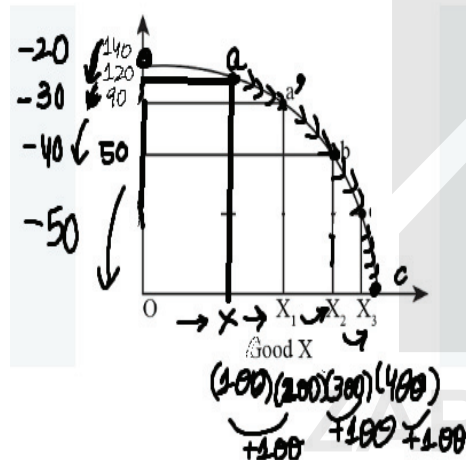
A – A mixture of foreign and domestically owned hospitals represents involvement of private sector

B- A mixture of foreign and domestic medical staff again represents involvement of private sector

C- A mixture of privately owned and government owned hospitals represents the existence of mixed economy, as in case of a mixed economy, public sector and private sector are operated together, which is why, this becomes correct.

D- A mixture of specialist and general hospitals represents “private sector” involvement

4-D:



A - In case of option A, output of the other good is constantly increasing upon a rise in output of good X, which does not represent the concept of opportunity cost.

B- In case of option B, with every additional units of good X being produced, initially less of good Y have to be foregone, representing "decreasing opportunity cost", and then the same quantity of good Y has to be foregone, representing "constant opportunity cost"

C- Here, for every additional output of 100 units of X, a qty of 30 units of Y has to be foregone, representing "constant opportunity cost" throughout.

D: This is correct, and as can be seen on the *left* that for every additional output of 100 X, more and more of good Y have to be foregone, which represents "increasing opportunity cost"

5-D

A,B and C: A change in advertising expenditure, individual's incomes ,and tastes are factors that cause a shift in the demand curve ,we are asked to identify the factor that does not bring a shift in the demand curve thus making it wrong.

D: A change in price of the good does not cause the demand curve to shift thus making this correct.

6-A:

- A- A policy to help buyers on modest incomes causes a rightward shift in the demand curve ,and when consumer's willingness to pay increases ,and when because of shortages , there is a rise in equilibrium prices, producers are signaled to extend quantity supplied, thus making option A correct.
- B- A maximum rent policy representing the cap limit of rents that can be charged, causes a contraction in quantity supplied, thus making this incorrect.
- C- A rise in tax on building materials, causes a leftward shift in the supply curve, instead of increasing the quantity supplied.
- D- The removal of subsidies causes an increase in cost of production, thereby bringing a leftward shift in the supply curve instead of increasing qty supplied.

7-A:

A – In case of price elastic demand, a smaller percentage change in price brings about a larger percentage change in quantity demanded. A fall in price , in this case even by a smaller percentage brings about a rise in Total Revenue or Total Expenditure , this is because the extension in quantity demanded occurs by a larger percentage. This is because, there is a negative relationship between price and Total Revenue or Total Expenditure in case of elastic demand, therefore making this option correct.

B- This talks about Law of demand that a fall in price brings about an extension in qty demanded, but this does not specifically talk about elastic demand.

C-In case of inelastic demand, a rise in price would not increase total expenditure or total revenue because there is a negative relationship between price and Total Revenue in case of elastic demand.

D-This also talks about law of demand that a rise in price causes a contraction in qty demanded, therefore this cannot be the answer.

8-A:

The calculations below show why the new price should be 5 dollars, this answer is shown in option A.

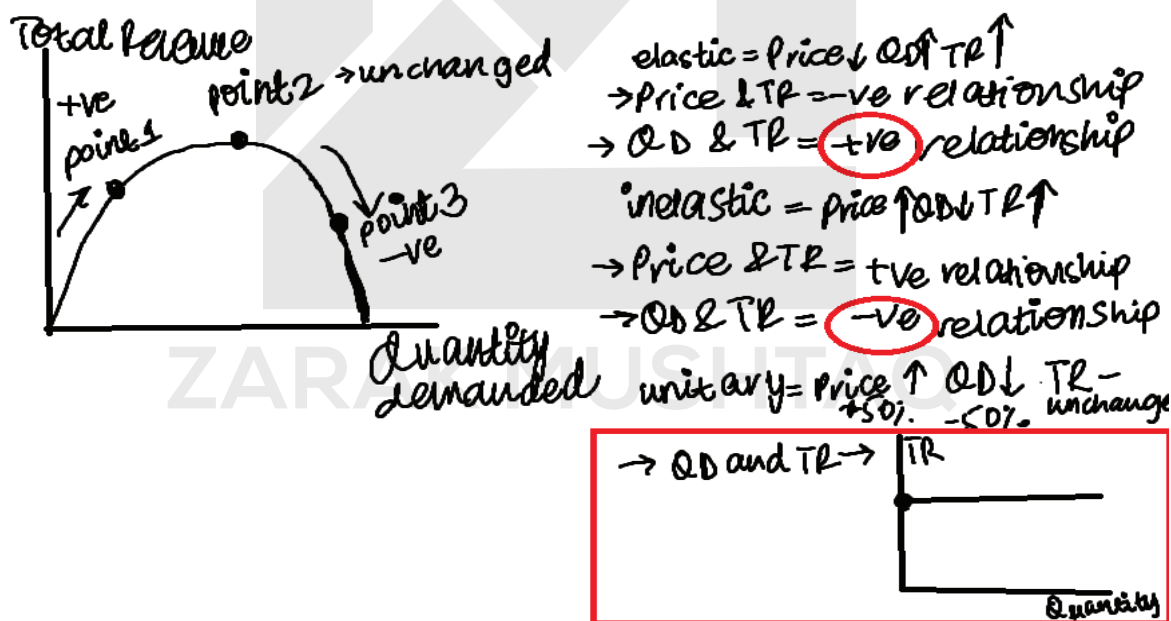
Price of X	Quantity of Y	
Old → 10	old → 2000	} + 40% → $\frac{\text{New} - \text{Old} \times 100}{\text{Old}} = \frac{2800 - 2000 \times 100}{2000}$
New → x	New → 2800	

$$XED = \frac{\% \text{ change in QD of good Y}}{\% \text{ change in price of good X}}$$

$$\left[\frac{+40\%}{\frac{x}{10}} \right] = -0.8, \left[\frac{40}{-0.8} \right] \times 100 = -50\%$$

price falls by 50%
 New price = 50% of 10 = 5

9-B:



As can be seen above, there is a positive relationship between quantity demanded and Total Revenue in case of elastic demand, as a rise in qty demanded as a result of a fall in price, brings about a rise in Total Revenue. Through the upward sloping curve at point 1, we can infer that there is a positive relationship between total revenue and qty demanded shown, based on which we can identify that it shows elastic demand, whereby PED > 1

Moreover, at point 2, it can be seen that the Total revenue is unchanged despite any changes in quantity demanded, as can be seen above that this happens only in unitary elastic demand, whereby $PED = 1$.

And, at point 3, the downward sloping graph shows a negative relationship between qty demand and Total Revenue, this is only true in case of inelastic demand, as a fall in qty demanded because of an increase in price, causes the Total Revenue to maximize, therefore we can say that the point 3 shows inelastic demand, whereby $PED < 1$.

10-B:

We are interested in an option as a result of which, the supply becomes more "price-elastic".

A: When stocks can be stored for a lesser period of time because of it being more perishable for example; dwindling stocks, this would make the supply inelastic in response to changes in demand.

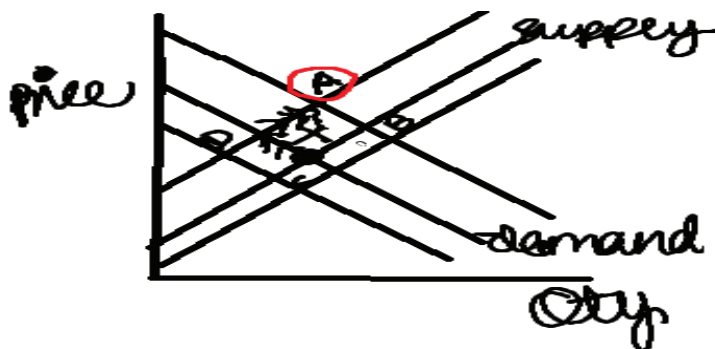
B: Let's imagine a case of houses. The emergence of "flat-pack" housing units and additive manufacturing (i.e. using giant 3D printers in the construction process) might reduce the time frame in which new housing can be built and made available. The decrease in the time that it takes to produce the products would make the supply more elastic in response to changes in demand, thereby making this option correct.

C: An increase in the cost of capital goods would make it difficult for the firm to acquire capital goods and when the acquisition of capital goods becomes difficult, the responsiveness of the producer to changes in demand would become low i.e. the supply would become more inelastic.

D: An increase in the level of employment means that there is less unemployment. If unemployment is low, that is an economy is operating close to its potential, less spare resources such as labor and capital would be available, and they would not be easily acquired, additionally due to shortages, costs of acquisitions may be higher, thus making the responsiveness of a producer low in response to changes in demand.

11-A:

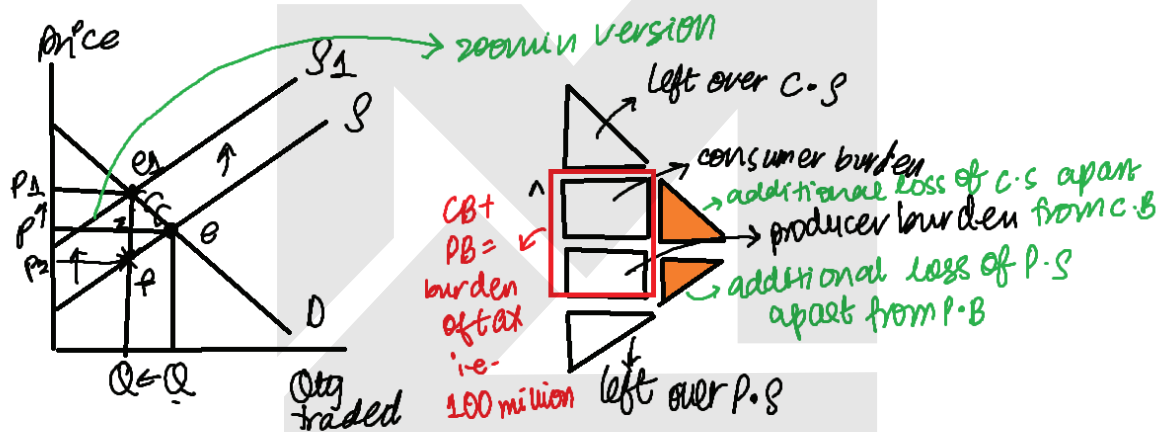
A rise in price of batteries that serves as a key raw material in the manufacture of smartphones, will increase the cost of production of smartphone producers, thus causing the supply curve to shift leftwards. And since, consumers' incomes rise, there is a rightward shift in the demand curve, thus causing a new equilibrium point to be established from X (initial equilibrium) to A.



12-C:

- a- When the good has a number of close substitutes representing elastic demand, a rise in price by a smaller percentage will contract qty demand by a larger percentage, prices can be used to ration scarce goods here.
- b- Even in case of inferior goods, according to law of demand, a rise in price will contract qty demand.
- c- The problem is that for some goods that have perfectly inelastic demand, for example ;blood ,the quantity demanded does not contract with response to an increase in price, thus by means of rises in prices, shortages cannot be eliminated, and prices cannot be used to ration scarce resources here in this case. **This is why, key C , will be correct.**
- d- When the good is in fixed supply representing perfectly inelastic supply, rises in price may still contract qty demand, therefore prices may be used as a rationing tool effectively, as now only those with sufficient willingness, ability or effective demand will be left to purchase the good.

13-D:



D- As can be seen above that there is a loss in consumer surplus and producer surplus by more than their incidence of taxation i.e. the consumer burden and producer burden, therefore we can say that the combined consumer surplus and producer surplus will fall by more than 100 million\$, that is the total value of tax, this is why option D is correct. These additional triangles are termed as “dead-weight loss.”

This is why all other options are incorrect.

14-C

Using the buffer stock scheme, the government has promised that farmers' incomes should be maintained at the level of 8000.

In year 1 represented through supply curve S_1 , the farmers total revenue is 5000, therefore the government will have to provide extra help of 3000.

In year 2, the farmer is earning 9000, therefore government will not have to help farmers.

In year 3, farmers are earning 8000, thus no help is required

In year 4, farmers are earning 5000, so govt will have to provide extra help of 3000.

In total, government will have to pay 6000 (3000+3000) to support farmers over subsequent years

Therefore, option C is correct.

15-A:

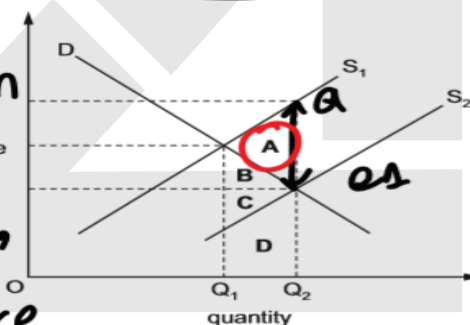
15 The diagram shows the supply and demand curves of a commodity.

A government subsidy causes the supply curve to shift from S_1 to S_2 .

Which area measures the difference between the cost to the economy of producing the resulting increase in output (Q_1-Q_2) and the value consumers place on this increase in output?

* Vertical distance between two supply curves is called 'per unit subsidy'

* Vertical distance at quantity Q_2 is Area a [a-ea]



16-C:

A transfer payment is a payment made without goods or services being received in exchange; in other words, there is no corresponding contribution made to output.

Here, only pensions and social security welfare payments are transfer payments, which means that the total sum of transfer payments is "260 billion" (110+150)

17-D:

In options A, B and C, price will play its role and find a new equilibrium

A-The abolition of tariffs, that represents a tax on imported goods will reduce government intervention , and resource allocation will still be done making use of the price mechanism , and the rationing function of price-mechanism would not be restricted.

B-The levying of indirect taxation does cause the supply curve to shift leftwards , however resource allocation will still be done making use of price mechanism which means that the rationing function of the price-mechanism is not limited.

C-The payment of subsidies to exporters does not limit price mechanism ,therefore the rationing function of price-mechanism is intact.

D-Price controls that are alternative to price-mechanism limit the rationing functioning of the price mechanism .Setting of minimum prices for milk is an example of price control which will restrict price mechanism and its functions .This is why, it is the correct option.

18-B:

- A- Private firms always aiming for maximum profits represents the disadvantage or negative consequence of privatization , as this would lead to them exploiting consumers through formation of monopolies.
- B- This is correct as private firms operate on a large scale, and because of an effective usage of factors of production, they benefit from economies of scale, that is a fall in “per-unit average cost” due to them growing large in size
- C- It is incorrect to say that state enterprises always exploit consumers , since public sector firms mostly operate with the objective of “social welfare”
- D- This is incorrect to say that state owned enterprises can not operate without government subsidies

19-C:

An increase in government expenditure , since represents injections into the circular flow, will result in an increase in “Aggregate demand”

Investment in education and training results in an improvement in the productive potential of the economy in the long run, which will result in an increase in “Long run Aggregate Supply”

- A- Here, only Aggregate demand is shown to increase , making this incorrect
- B- Here, only LRAS is shown to increase, making this incorrect as well
- C- Here, both : Aggregate demand and Long-Run Aggregate Supply are shown to increase, which makes this correct.
- D- Here, both Aggregate demand and Long Run Aggregate Supply are shown to fall, making this incorrect.

20-A:

The solution below explains why the real value of savings decreases in the case of both the people.

* 2012: Botswana → Annual rate of inflation → 7.5%

$$0 - 7.5\% \Rightarrow -7.5\%$$

* Person X savings in form of cash

* There is no interest earned to protect the value of savings, therefore, the real value of savings falls.

Person Y savings in bank

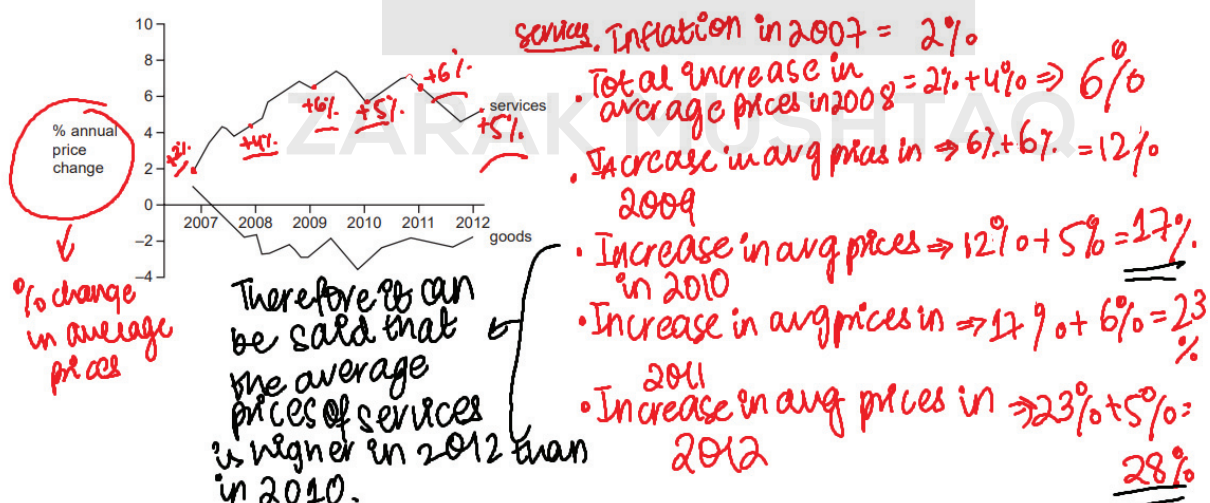
Real interest rate = Nominal interest rate - Rate of inflation

Real value of savings falls by 2.5% → $5.0\% - 7.5\% = -2.5\%$

21-C:

A – We are given data in percentage form, and since the absolute values showing the prices of goods and services is missing, we cannot judge if prices of services was higher than the prices of goods.

Why not B and Why C? The solution below explains this.



D: We cannot comment upon the fact that there was fall in general price level between 2008 and 2010, because there is a fall in the general price level of goods, and a rise in the general price level of services.

22-D:

22 The table shows items from the balance of payments for countries A, B, C and D.
Official financing including changes in reserves is excluded from the financial account.
Which country has the greatest disequilibrium on its balance of payments?

surplus/deficit

	Current Account \$ million	Capital Account \$ million	Financial Account \$ million
Equilibrium A	-41	13	+ 28
Disequilibrium B	-32	-5	+ -37
Disequilibrium C	-15	-17	+ 4
Disequilibrium D	44	12	+ 25

Handwritten calculations:

- A: $-41 + 13 = -28$ (then $-28 + 28 = 0$)
- B: $-32 + (-5) = -37$ (then $-37 + 37 = 0$)
- C: $-15 + (-17) = -32$ (then $-32 + 4 = -28$)
- D: $44 + 12 = 56$ (then $56 + 25 = 81$)

Handwritten notes:

- "Current account + Capital & Financial account = 0"
- "Surplus of 81 million"

23-B:

Decrease in exchange rate in a floating exchange rate system is known as "depreciation"

Increase in exchange rate in a fixed exchange rate system is known as "revaluation"

This is why, option B is correct

24-C:

- A- An increase in the price of US goods sold in the UK represents a fall in imports done by the UK, which would have resulted in a fall in the supply of pound sterling, this is why, this option becomes incorrect
- B- An increase in interest rates of the UK, when increases the incentives to invest in the domestic economy would result in hot money inflows being attracted, as a result of which, there will be an increase in demand of the currency; and since domestic residents would not take their money out for better returns, this will lead to a fall in the supply of the currency
- C- Development of US substitutes for UK goods means that the demand for UK goods will fall and since, less payments will be received, this will result in a fall in the demand for the currency, which is why, option C becomes correct.

- D- Removal of UK tariffs against US goods means that more imports will be done, and since more payments are made, this will result in a rise in the supply of the domestic currency, making this option incorrect.

25-C:

- 25 The table shows the indices of import prices and export prices of four countries between July 2013 and July 2014.

	index of import prices		index of export prices	
	July 2013	July 2014	July 2013	July 2014
Brazil	137	139	164	162
China	98	101	99	99
Italy	113	111	113	114
Spain	110	106	111	109

In which countries did the terms of trade improve between July 2013 and July 2014?

- A Brazil and China
B China only
C Italy and Spain
D Italy only

Terms of trade: $\frac{\text{export price}}{\text{import price}} \times 100$

*** Brazil**
 2013: $\frac{164}{137} \times 100 = 119.7$
 2014: $\frac{162}{139} \times 100 = 116.5$
 → fell

*** China**
 2013: $\frac{99}{98} \times 100 = 101$
 2014: $\frac{99}{101} \times 100 = 98.0$
 → fell

*** Italy**
 2013: $\frac{113}{113} \times 100 = 100$
 2014: $\frac{114}{111} \times 100 = 102.7$
 → improved

*** Spain**
 2013: $\frac{111}{110} \times 100 = 100.9$
 2014: $\frac{109}{106} \times 100 = 102.83$
 → improved

26-C:

Country X can produce apples and plums at a lower cost that means it has an absolute advantage in apples and plums.

(The fact that country Y incurs less costs to produce strawberries means that Y has an absolute advantage in strawberries)-This is stated in option C

But since, country X produces only apples, this means it has specialized in apples and specialization is based on comparative advantage ,this suggests that X has a comparative advantage in apples.

But since , plums and strawberries are imported from country Y, this means that (country Y has specialized in plums, and has a comparative advantage in plums , because specialization is based on comparative advantage.)-This is stated in option C.

Therefore, option "C" becomes correct!

27-D:

- A- Raising quotas on imported goods will restrict imports, which will result in a fall in import expenditures relative to export revenues, leading to an improvement in trade performance, but this will not help in raising tax revenues
- B- Although raising subsidies on exported goods, after having made exported goods competitive in the international market, would result in a rise in export revenues, helping to improve trade performance, but this will not help in raising tax revenues
- C- Raising tariff(tax) on exported goods will restrict exports in an attempt to prevent domestic shortages, and a resultant fall in export revenues will lead to trade performance being worsened.
- D- Tariff is tax on imported goods, which when imposed on imported goods would make imported goods uncompetitive, resulting in a contraction in qty demanded of imported goods by a relatively higher percentage, when the demand for them is elastic, resulting in a fall in import expenditures, therefore helping to improve the trade performance. And since this is a tax, it helps in generating "tax revenues", because of which , option D becomes correct.

28-B:

Fiscal policy involves the government manipulating government spending and tax revenues to influence Aggregate demand. **The extract talks about government expenditure in training colleges, which means that this implies "fiscal policy"**

And since, education and training helps in improving the productive potential of an economy by developing human capital, it is a **"supply-side policy"**

Monetary policy involves the government manipulating money supply, interest rate and exchange rate to influence Aggregate demand. Here , nothing such is represented, which means that there is no usage of "monetary policy"

29-C:

Expenditure dampening policy aims to reduce the expenditure of domestic residents on imported goods by changing tax rates (contractionary fiscal policy), or interest rates (contractionary monetary policy)

- A- Reduction in interest rates will reduce the savings done , consequently increasing consumption expenditure, even on imported goods, as a result of which, import expenditures will rise. This can not be classified as an expenditure dampening policy
- B- Appreciation will make imported goods appear relatively cheaper, resulting in a rise in import expenditure, when the demand for them is elastic, therefore making this incorrect
- C- An increase in direct taxes(contractionary fiscal policy), for example, income taxes will reduce the disposable incomes of individuals, and a fall in consumption expenditure will occur , even on imported goods, thereby resulting in a fall in import expenditures, this is why, this option becomes correct.

- D- Introduction of foreign exchange controls represents expenditure switching policy, thus making this option incorrect

30-B:

There are two policies that can help combat inflation.

One includes, contractionary demand side policies, that help to reduce Aggregate demand. But, these are conflicting policies, which means that, in an attempt to bring a fall in inflation, these result in "unemployment"

The other type represents supply side policies, which by increasing Aggregate supply, would help to reduce inflation, but also results in a rise in "employment"

- A- An increase in employment taxes for e.g. income taxes after reducing disposable incomes, and in turn consumption expenditure, when results in a fall in Aggregate demand, leads to a reduction in inflation, and also an increase in unemployment, thus making this incorrect
- B- An increase in laws to promote competition will result in a rise in Aggregate supply, as a result of which, there will be a fall in the general price level, or in other words, a reduction in inflation, along with an increase in real incomes, which represents a rise in incomes, output and employment, making this correct.
- C- An increase in budget surplus perhaps because of a fall in government spending does result in a fall in Aggregate demand and in turn a fall in inflation, but also leads to a rise in unemployment
- D- A rising exchange rate can actually lead to deflationary pressures in an economy, as imports become cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export oriented goods become relatively expensive, which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit, which since represents net-leakages from the circular flow, resulting in a fall in Aggregate demand, bringing down a fall in general price level. But, this will also result in a fall in employment.

ZARAK MUSHTAQ